

"I have started exploring other options, such as debt funds, to have some exposure to government, state, and corporate bonds to maximise returns from my fixed income portfolio. I invest in FDs because of their simplicity, but the strategy might not give good returns in the future. I need to be vigilant about the changing trend," says Raj.

Not just Raj; there are many others who share her fondness for FDs. Data shows FDs are nearly nine times larger than debt mutual funds (MFs). According to CareEdge Ratings, as of September 30, 2023, the assets under management (AUM) of open-ended debt MFs amounted to approximately ₹13 lakh crore, while the base of outstanding term deposits was ₹115 lakh crore. This gap between the two has only widened in recent years, primarily because of the rise in FD rates and the removal of tax benefits on debt funds.

The situation, however, could undergo a transformation this year. There are expectations that the US Federal Reserve may initiate interest rate cuts, as the inflation rate shows signs of declining. In December 2023, the inflation rate dropped below a 3% annual rate, in line with the US Fed target.

In such a scenario, the question arises if debt funds can be a better option to cash in on the downward trend in interest rates. With 16 different types of Sebi-defined debt funds available, it can be challenging to determine which one is the best investment option. Is it still worth investing in these funds now that their tax advantage has been removed? Here is a lowdown on how to strategise your debt fund investment to maximise returns from the expected decline in interest rates.



"We recommend investors to consider G-Sec funds or invest in bond ETFs/ bond index funds with a focus on long-dated IGBs, SDL with an average maturity of 10-20 years"

Dhawal Dalal
CIO-FIXED INCOME,
EDELWEISS MF

HIGH INFLATION, HIGH INTEREST

The past few years have been highlighted by high interest rates. Many developed countries experienced a significant rise in inflation, forcing their central banks to adopt inflation-targeting monetary policies. As a result, interest rates moved up globally. For example, the US Fed has raised policy rates by an unprecedented 550 basis points (bps) since March 2022.

Closer home, the scenario is similar. Since May 2022, the Reserve Bank of India (RBI) has increased the repo rate—the rate at which banks borrow money from the central bank—by 225 bps to combat the high inflation. As the repo rate went up, banks also increased their deposit rates to attract more deposits, thereby reducing liquidity in the system to

FUTURE FOCUS



SHIFT IN INTEREST RATE CYCLE: Anticipated interest rate cuts may favour debt funds after a challenging period



STRATEGIC INVESTMENT: Consider long- and medium-term debt funds and dynamic funds for potentially higher returns



BOND PRICES: The expected fall in interest rates could appreciate capital in addition to the yield to maturity



MODIFIED DURATION STRATEGY: Assess bond interest rate sensitivity to navigate market fluctuations and optimise returns



RISK-RETURN BALANCE: Align investment choices with risk profile, weighing FD safety against potential debt fund gains